Arbitration Act 2055
मध्यस्थता ऐन, २०५५

Up to latest Amendments



By
CA Govinda Tamang

ARBITRATION ACT, 2055 (1999)

ENACTMENT AND PUBLICATION

Date of Royal Seal and Publication:

2056.1.2.5 (Nepali)	13 April 1999 (English)

ACT NO. 1 OF THE YEAR 2055

AMENDING ACTS

1. **Act Amending Some Nepal Acts, 2064** (2064.05.09)
2. **Act Amending Some Nepal Acts to Consolidate the Republic, 2066** (2066.10.07)
3. **Act Amending Some Nepal Acts to Improve the Economic and Business Environment and Enhance Investment, 2081** (2081.12.18)
4. **Act Amending Some Nepal Acts, 2082** (2082.04.14)

PREAMBLE

Whereas,

"Whereas, it is expedient to make timely **the prevailing legal provisions** relating to arbitration"



PRIMARY OBJECTIVE

"To Provide for Legal Arrangements Relating to Arbitration"

Information derived from official Act details.

Chapter 1
Preliminary

Section 1 : Short Title and Commencement
Section 2 : Definition

DEFINITIONS

2. Definitions: Unless the subject or context otherwise requires, in this Act,—

(a) "Agreement"

means a written agreement between the parties to settle, through arbitration, a dispute — whether arising out of a contract or not — concerning any determinate legal relationship, which dispute has already arisen or may arise in the future.

Explanation: For the purposes of this clause, a written agreement shall be deemed to exist between the parties where any of the following writings exist:

1. any contract that also contains a provision for arbitration, or any other separate agreement made in that connection;
2. letters, telex, telegrams, teefax, telefax, or other similar means of telecommunication capable of maintaining a written record, exchanged between the parties for referring a dispute to an arbitrator;
3. where a party has submitted a claim for referring a dispute to arbitration, and the defending party has submitted its defence to that claim without denying the reference of the dispute to the arbitrator.

(b) "Party"

means any party connected with the arbitration.

(c) "District Court"

means, where the place of arbitration specified in the agreement, the District Court having territorial jurisdiction over that place, and, where no such place is specified, the District Court having territorial jurisdiction over the place where the dispute arose, or where the arbitration proceedings and decision took place, or where a party ordinarily resides.

(d) "High Court"

means, where the place of arbitration is specified in the agreement, the High Court having territorial jurisdiction over that place, and, where no such place is specified, the High Court having territorial jurisdiction over the place where the dispute arose, or where the arbitration proceedings and decision took place, or where a party ordinarily resides.

(e) "Dispute"

means a dispute capable of being settled through arbitration under this Act.

(f) "Counter-claim"

means a claim made by the defending party against the party who made the original claim.

(g) "Rejoinder"

means the reply made by the claiming party against the counter-claim made by the defendant.

(h) "Arbitrator"

means an arbitrator appointed for settlement of a dispute, and the term also denotes a panel of arbitrators.

Chapter-2 Settlement of Disputes Through Arbitration

Section 3: Disputes to be Settled through Arbitration
Section 4: Cancellation of Records of the Suit

SUMMARY — CHAPTER 2: SETTLEMENT OF DISPUTES THROUGH ARBITRATION

SECTION 3. DISPUTES TO BE SETTLED THROUGH ARBITRATION

1. Agreement with **ARBITRATION CLAUSE:** Disputes arising from or relating to the agreement shall be settled through arbitration.





2. The arbitration shall **FOLLOW:**



a) The procedure agreed by the parties;



b) If no procedure is specified, the procedure under the Arbitration Act.

3. **COMMERCIAL CIVIL CASE** pending before a court may be referred to arbitration if:



a) The dispute is legally capable of arbitration;

b) All parties request the court to settle it through arbitration.



SECTION 4. REMOVAL OF CASE FROM COURT REGISTER

1. **COURT MAY ORDER** removal of a case from its register where the dispute is referred to arbitration under Section 3(2).



2. **COURT SHALL NOT** remove the case where:



a) Non-arbitrable matters must be decided together with arbitrable matters;

b) There are reasonable grounds indicating that arbitration cannot resolve the dispute.



Chapter-3 Appointment of Arbitrators and Their Office

Section 5: Number of Arbitrators
Section 6: Appointment of Arbitrator
Section 7: Appointment of Arbitrators by Court
Section 8: Fulfilment of Arbitrators in Special Circumstances
Section 9: Arbitrators to Take Oath
Section 10: Disqualifications of Arbitrators
Section 11: Removed of Arbitrators
Section 12: Location of Office of the Arbitrator
Section 13: Language to be used by Arbitrators in their Proceedings
Section 13A: Fast-Track Arbitration Service

SUMMARY — SECTIONS 5 TO 7: APPOINTMENT OF ARBITRATORS

5. NUMBER OF ARBITRATORS

- Number of arbitrators shall be as specified in the agreement.
- If the agreement is silent, there shall ordinarily be 3 arbitrators.
- If an even number is appointed, they must arbitrator to make the total number odd.

6. APPOINTMENT OF ARBITRATOR

- Unless the agreement provides otherwise, the appointment process must begin within 3 months from the date the cause for arbitration arises.
- If the agreement names a specific arbitrator, that person is deemed appointed.
- Where the agreement specifies an appointment procedure, that procedure must be followed.
- Unless otherwise agreed:
  - Each party appoints one arbitrator; and
  - The appointed arbitrators select the third arbitrator, who acts as the Chief Arbitrator.

7. APPOINTMENT BY THE HIGH COURT

- A party may apply to the High Court for appointment where:
  - The agreed appointment procedure fails; or
  - The agreement contains no provision for appointment.
- Application must include:
  - Names, addresses, occupations and areas of expertise of at least 3 proposed arbitrators; and
  - A copy of the arbitration agreement.
- High Court gives notice to all parties.
- If parties agree on an arbitrator, the Court appoints the agreed person.
- If no agreement is reached, the High Court appoints a suitable arbitrator within 60 days of receiving the application.
- The High Court's appointment decision is final.

ARBITRATION PROCEDURES: SECTIONS 8 TO 10

8. FILLING VACANCY OF ARBITRATOR



VACANCY SITUATIONS:

If an arbitrator:
resigns, refuses to act, dies, or otherwise vacates the position,

FILLING THE VACANCY:
vacancy should normally be filled within 30 days.

REPLACEMENT:
Replacement must follow the same appointment procedure used for the original arbitrator.

IF VACANCY NOT FILLED WITHIN 30 DAYS:

- Any party may apply to the High Court within 15 days after expiry of the 30-day period.
- High Court shall ordinarily appoint an arbitrator within 15 days, subject to Section 7.

9. OATH BY ARBITRATOR



REQUIREMENTS BEFORE STARTING:

every **arbitrator** must sign two copies of the prescribed oath of impartiality and integrity:

1. One kept with the case file;
2. One submitted to the High Court.

DISCLOSURE:

Any circumstance that could reasonably raise doubts about the arbitrator's impartiality or independence must be disclosed to the parties before taking the oath.

10. DISQUALIFICATION OF ARBITRATOR



A PERSON CANNOT BE APPOINTED AS AN ARBITRATOR IF THEY:

- Are legally disqualified from entering into a contract.
- Have been convicted of a criminal offence involving moral turpitude.
- Are insolvent or bankrupt.
- Have a personal interest in the subject matter of the dispute.
- Do not possess a qualification specifically required by the arbitration agreement.

SUMMARY — SECTIONS 11 to 13A

11. Removal of Arbitrator



Follow arbitration agreement first.



If silent: Apply for removal within 15 days of knowing appointment or conduct.

GROUNDS FOR REMOVAL:

- Bias or partiality
- Improper conduct or fraud
- Repeated negligence or irregularity
- Violation of natural justice
- Unjustified absence >3 meetings or refusal to participate to delay
- Failure to possess/retain required qualification



Arbitrator must decide removal in 30 days if no voluntary step-down & no opposing party agreement.



High Court Appeal:
High Court decision is final.



12. Place of Arbitrator's Office

Place determined by:

1. Specified in agreement



2. Mutually selected by parties



3. If no agreement in 15 days, Arbitrator determines place considering relevant circumstances.



Arbitrators can choose another suitable place for:



Witness examination





Obtaining expert opinions





Inspecting documents, property, locations

13. Language of Arbitration

Language shall be:



Language specified in agreement — 'English/German'

If not specified, mutually agreed by parties



If parties cannot agree, language used in the agreement.



13A. Fast-Track Arbitration



Parties may resolve a dispute through a fast-track arbitration procedure.



Such procedure must be agreed to or consented to by the parties.



Chapter- 4 Arbitration Proceedings and Powers of Arbitrators

Section 14: Submission of Claims, Counter-Claims, Objections or Rejoinders
Section 15: Circumstances in which Arbitration Proceedings shall Terminate or Continue
Section 16: Power of the Arbitrator to Determine Jurisdiction
Section 17: Procedure to be Adopted by Arbitrators
Section 18: Substantive Law to be followed by Arbitrators
Section 19: Arbitration Hearings to be held in Camera
Section 20: Saving Notices and Summon
Section 21: Power of the Arbitrator
Section 22: Parties to have Equal Opportunity
Section 23: Assistance of the Court May be Sought to Examine Any Evidence

SUMMARY - SECTION 14: CLAIM, COUNTER-CLAIM, REPLY & REJOINDER

CLAIM SUBMISSION DEADLINE

- Follow the time limit specified in the arbitration agreement.

IF NO TIME LIMIT SPECIFIED but an arbitrator is named, claim must generally be submitted within 3 months from:

- The date the dispute arises; or
- The date of arbitrator's appointment, if appointed after the dispute arose.

CLAIM MUST BE IN WRITING AND INCLUDE:

- Matters in dispute;
- Relief/remedy sought; and
- Supporting evidence.
- A copy must be provided to the other party.

REPLY BY OTHER PARTY:

- Unless otherwise agreed, reply must be submitted within 30 days of receiving the claim.

30 days

REPLY BY OTHER PARTY:

Unless otherwise agreed, reply must be submitted within 30 days of receiving the claim.

30 days

A copy must be provided to the other party.

COUNTER-CLAIM & REJOINDER:

Counter-claim must be submitted along with the reply within the 30-day period.

15 days

Claimant gets 15 days to submit a rejoinder to the counter-claim.

EXTENSION OF TIME:

- If a party cannot meet the deadline due to circumstances beyond its control, it may apply within 15 days after expiry.
- Arbitrator may grant an extension if the reason is reasonable.

DOCUMENTS & WITNESSES:

All relevant documents and supporting evidence must accompany the claim, reply, counter-claim or rejoinder.

- Parties wishing to rely on witnesses must provide their names, addresses and details and produce them before the arbitrator on the scheduled date.
- Each party must provide the other party with copies of documents submitted to the arbitrator.

GOVERNMENT OFFICIALS:

- Government representatives who negligently fail to submit pleadings within the prescribed time, or submit them late, may face departmental action.
- If the conduct also constitutes an offence, criminal/legal action may additionally be taken.

ARBITRATION PROCESS: SECTIONS 15 & 16 SUMMARY

15. TERMINATION OR CONTINUATION OF ARBITRATION

CLAIM NOT FILED ON TIME



CLAIM NOT FILED ON TIME

If the claimant fails to submit the claim within the Section 14(1) deadline, the arbitration proceedings are terminated, unless parties agree otherwise.



REPLY NOT FILED



REPLY NOT FILED

Failure to submit a reply does not mean the respondent has accepted the claim.
Arbitrator continues the proceedings and decides based on the claim and supporting evidence.



FAILURE TO APPEAR OR SUBMIT EVIDENCE



FAILURE TO APPEAR OR SUBMIT EVIDENCE

If a party fails to attend a hearing or provide documentary evidence, the arbitrator may decide the dispute based on the evidence available and send a copy of the decision to the defaulting party.



16. ARBITRATOR'S POWER TO DETERMINE ITS OWN JURISDICTION

A PARTY MAY CHALLENGE WHETHER:

- The arbitrator has jurisdiction over the dispute; **OR**
- The underlying contract is unlawful, void or ineffective.





ARBITRATOR MUST DECIDE the jurisdiction/contract validity issue before proceeding with the substantive arbitration.

A dissatisfied party may apply to the **HIGH COURT** within 30 days; the High Court's decision is final.

THE ARBITRATION CLAUSE IS TREATED AS A SEPARATE AGREEMENT from the main contract (Separability Principle).



Therefore, even if the main contract is declared void or invalid, the arbitration clause does not automatically become invalid.



JURISDICTION OBJECTIONS must generally be raised within the reply period under Section 14(2).



A party does not lose its right to challenge jurisdiction merely because it appointed or participated in appointing an arbitrator.



Filing a challenge before the High Court does not automatically stop the arbitrator from continuing proceedings or issuing a decision.

SUMMARY — SECTIONS 17 TO 20



17. PROCEDURE TO BE FOLLOWED BY ARBITRATOR

- Arbitration procedure follows the parties' agreement, If the agreement is silent, the Act applies.
- For matters not covered by the Act:
  - Arbitrator determines the procedure with parties' consent; or
  - If no consent, the arbitrator determines the procedure.
- Arbitration must begin without delay after required claims, replies, counter-claims and rejoinders are submitted.
- Parties must receive notice of the date and time of each proceeding, with proof of notice as recorded.
- Where there are 3 or more arbitrators, arbitrators present may conduct procedural proceedings, except for the final decision/order.
- If a properly notified party fails to attend, the arbitrator may proceed in its absence based on available evidence.
- After hearing is completed, the arbitrator formally closes the hearing and records the closure; normally, no further evidence or hearing is allowed thereafter.
- Unless otherwise agreed, the written decision should ordinarily be issued within 30 days of closing the hearing.











18. SUBSTANTIVE LAW APPLICABLE



- Unless parties agree otherwise, the applicable substantive law is Nepalese law.
- Arbitrator may decide based on justice and good conscience (*ex aequo et bono / amiable compositeur*) only when expressly authorised by the parties.
- Arbitrator must decide according to:
  - The terms of the contract; and
  - Relevant trade usages/customs applicable to the transaction.





19. PRIVATE ARBITRATION HEARINGS



- Arbitration hearings are generally conducted in private, unless the parties agree otherwise.

20. NOTICE & SERVICE OF PROCESS







- Arbitration notices, hearing notices and other processes may be served on parties inside or outside Nepal.
- Unless the agreement provides otherwise, service may be made:
  - Directly to the concerned party
  - Through a designated telex, telefax, telegram or other written-record communication method
  - At the party's business address; or
  - At the party's permanent residence where no other communication address is available.





- If sent by post, it must be sent by registered post.
- Properly made service is considered validly completed.
- These provisions do not adversely affect the proceedings of a court.

Summary — Sections 21 to 23

21. Powers of the Arbitrator

Unless otherwise agreed by the parties, the arbitrator may:

- Require parties to appear, submit documents and provide statements.
- Examine witnesses.
- Appoint experts, conduct inquiries or obtain expert opinions.
- Require a bank guarantee or other security from a foreign party where enforcement of the award may be uncertain.
- Inspect places, goods, structures, production processes or other matters related to the dispute.
- In the case of perishable goods, sell them after consulting the parties and hold the proceeds in deposit.
- Exercise powers specifically granted by the parties.
- Issue preliminary, interim or interlocutory orders, or make conditional decisions.
- Provide certified copies of documents.
- Exercise other powers granted by the Act.

A party dissatisfied with an interim/preliminary order under clause (g) may appeal to the High Court within 15 days.

The High Court's decision is final.

22. Equal Opportunity to Parties

Each party must be given a fair, adequate and equal opportunity to present its case.

A party may:

- Appear personally;
- Appear through a representative; or
- Engage a legal practitioner (lawyer).

23. Court Assistance for Taking Evidence

Where assistance is needed to collect evidence, the arbitrator may:

- Act on its own initiative; or
- Act upon a party's request.



The arbitrator may request assistance from the District Court.

Upon such request, the District Court shall assist in taking evidence according to the prevailing law.

Chapter- 5 Decision of the Arbitrator and Implementation

Section 24: Period Within Which Decision Must Be Taken
Section 25: Circumstances in Which Decisions Must Not Be Taken
Section 26: Decision of Arbitrator
Section 27: Matters to be Mentioned in Decision
Section 28: Decision to be Read Out
Section 29: Prohibition to Revision of Decision
Section 30: Circumstances in Which Decision May Be Invalidated
Section 31: Implementation of Award
Section 32: Implementation of Award by Court
Section 33: Interest to be Paid
Section 34: Implementation of Award Taken in a Foreign Country

SUMMARY — CHAPTER 5: DECISION OF THE ARBITRATOR & ENFORCEMENT

24 Time Limit for Decision



Unless the agreement provides otherwise, the arbitrator should ordinarily issue the decision **within 120 days** from the date the documents under Section 14 are submitted.



This is subject to the **30-day period** under Section 17(7) for pronouncing the written decision after closure of the hearing.

25 When Decision Cannot Be Given



Arbitrator cannot decide a matter that is inseparably connected with a matter **outside its jurisdiction**.



Parties must be notified when a decision cannot be given for this reason.



Affected party may file an appeal before the court within **35 days** of receiving the notice.

26 Decision by Multiple Arbitrators





Where there are 3 or more arbitrators, the majority opinion constitutes the decision.



If no majority is possible, the Chief Arbitrator's opinion becomes the decision, unless the agreement provides otherwise.



Normally, all arbitrators sign the decision.



If an arbitrator cannot sign, the others may sign while stating the reason.



An arbitrator who disagrees may record a dissenting opinion.

27 Matters to Be Included in the Decision

Unless the agreement provides otherwise, the decision must clearly state:

- ☑ Brief description of the dispute submitted for arbitration.
- ☑ Grounds establishing jurisdiction, where jurisdiction was challenged.
- ☑ Arbitrator's findings, reasons and basis.
- ☑ Amount of compensation, damages or other payment.
- ☑ Amount of compensation, damages or other payment.
- ☑ Applicable interest rate:
  - $ Interest up to the day before the arbitration appointment process began; and
  - % Further interest if the decision is not implemented within the Section 31 period.
- ☑ Place and date of the decision.

28 Pronouncement & Delivery of Decision



Arbitrator must pronounce the decision before the parties.



A copy must be:

- Given to each party; and
- Retained in the arbitration file.



If a party is absent or refuses to accept the decision:

- The fact must be recorded; and
- The decision must be sent to that party with a notice.

SUMMARY – SECTIONS 29 & 30: CORRECTION AND SETTING ASIDE OF ARBITRAL DECISION

29. NO SECOND DECISION ON THE SAME MATTER

ONCE AN ARBITRATOR HAS ISSUED A DECISION, IT GENERALLY CANNOT DECIDE THE SAME MATTER AGAIN, EXCEPT AS PERMITTED BY THE ACT OR BY A HIGH COURT ORDER.



MINOR CORRECTIONS ARE PERMITTED FOR:

- Calculation/computational errors
- Clerical or typographical errors
- Similar non-substantive errors
- Omitted matters that do not change the substance of the decision.

A PARTY MAY REQUEST CORRECTION WITHIN 30 DAYS OF RECEIVING THE DECISION.

→ ARBITRATOR MAY MAKE THE CORRECTION WITHIN 15 DAYS OF RECEIVING THE REQUEST.

→ IF THE ARBITRATOR IDENTIFIES THE ERROR ITSELF, IT MAY CORRECT IT WITHIN 30 DAYS OF THE DECISION AND NOTIFY THE PARTIES.

SUPPLEMENTARY DECISION:

If a claimed matter was left undecided, a party may, with the other party's consent, apply within 30 days. → Arbitrator may issue a supplementary decision within 45 days.

INTERPRETATION/CLARIFICATION:

With parties' consent, an unclear part of the decision may be referred to the arbitrator for interpretation within 30 days. → Arbitrator may provide clarification within 45 days.

30. SETTING ASIDE AN ARBITRATION DECISION

A DISSATISFIED PARTY MAY APPLY TO THE HIGH COURT WITHIN 35 DAYS OF THE DECISION BEING PRONOUNCED OR NOTICE BEING RECEIVED.

APPLICATION MUST INCLUDE THE RELEVANT DOCUMENTS AND A COPY OF THE ARBITRATION DECISION, WITH COPIES PROVIDED TO THE ARBITRATOR AND CONCERNED PARTY.



GROUNDS FOR SETTING ASIDE — PARTY'S APPLICATION

THE HIGH COURT MAY SET ASIDE THE DECISION OR ORDER A FRESH DECISION WHERE:

- A party lacked legal capacity to enter the agreement, or the arbitration agreement was invalid under the applicable law.
- The applicant did not receive proper and timely notice of:
  - Appointment of the arbitrator; or
  - Arbitration proceedings.
- The decision:
  - Deals with matters not submitted to arbitration;
  - Goes beyond the matters referred; or
  - Contradicts the agreed scope of arbitration.
- The composition/procedure of arbitration or conduct of proceedings did not comply with the parties' agreement or the Act.

ADDITIONAL GROUNDS — COURT'S AUTHORITY

HIGH COURT MAY ALSO SET ASIDE THE DECISION WHERE:

- The dispute is not legally capable of being settled through arbitration in Nepal.
- The decision is contrary to public policy.

IMPORTANT LIMITATION

WHILE CONSIDERING AN APPLICATION TO SET ASIDE AN AWARD, THE HIGH COURT DOES NOT RE-EXAMINE THE EVIDENCE RELIED UPON BY THE ARBITRATOR.

SUMMARY - SECTIONS 31 to 33: ENFORCEMENT & INTEREST

31. ENFORCEMENT BY PARTIES



PARTIES MUST IMPLEMENT THE ARBITRATOR'S DECISION WITHIN 45 DAYS FROM THE DATE THEY RECEIVE A COPY OF THE DECISION.



32. ENFORCEMENT BY DISTRICT COURT

IF THE DECISION IS NOT IMPLEMENTED WITHIN 45 DAYS:



- THE CONCERNED PARTY MAY APPLY TO THE DISTRICT COURT WITHIN 30 DAYS AFTER EXPIRY OF THE 45-DAY PERIOD.
- DISTRICT COURT ENFORCES THE DECISION AS IF IT WERE ITS OWN JUDGMENT.
- ENFORCEMENT TIMEFRAME:
  - FAST-TRACK ARBITRATION: ORDINARILY WITHIN 15 DAYS.
  - OTHER ARBITRATION: ORDINARILY WITHIN 30 DAYS.

FILING AN APPLICATION TO SET ASIDE THE DECISION UNDER SECTION 30 DOES NOT AUTOMATICALLY STOP ENFORCEMENT.

EXCEPTION:
HIGH COURT MAY STAY ENFORCEMENT IF THE APPLICANT ALSO SEEKS A STAY AND:

- THERE APPEARS TO BE A PRIMA FACIE CASE OF CORRUPTION OR FRAUD IN THE AGREEMENT OR DECISION; OR
- IRREPARABLE LOSS IS SUBSTANTIALLY ESTABLISHED.

33. PAYMENT OF INTEREST



UNLESS THE AGREEMENT PROVIDES OTHERWISE, WHERE AN ARBITRAL DECISION REQUIRES PAYMENT OF MONEY:

- ARBITRATOR MAY AWARD INTEREST CONSIDERING THE NATURE OF THE RELEVANT BUSINESS.
- INTEREST RATE CANNOT EXCEED THE PREVAILING COMMERCIAL BANK RATE APPLICABLE TO SUCH TRANSACTIONS.



NO INTEREST ACCRUES DURING THE PERIOD:

- FROM COMMENCEMENT OF THE ARBITRATOR APPOINTMENT PROCESS;
- UNTIL EXPIRY OF THE STATUTORY PERIOD FOR ENFORCEMENT OF THE DECISION.

SUMMARY — SECTION 34: ENFORCEMENT OF FOREIGN ARBITRAL DECISIONS

34. ENFORCEMENT OF A DECISION MADE ABROAD



APPLICATION PROCESS

A party seeking enforcement of a foreign arbitral decision in Nepal must apply to the High Court.

REQUIRED DOCUMENTS

- Original/certified copy of the arbitration decision.
- Original/certified copy of the arbitration agreement.
- Official Nepali translation if the decision is not in Nepali.

RECOGNITION & ENFORCEMENT CONDITIONS

Where Nepal and the foreign country are parties to a relevant treaty, the foreign decision may be recognised and enforced if:

- Arbitrator appointment and decision comply with the agreement and applicable law/procedure.
- Parties received timely notice of the arbitration proceedings.
- Decision remains within the scope of the agreement/referral.
- Decision is final and binding under the law of the country where it was made.
- There is no applicable legal restriction preventing enforcement in Nepal.
- Application is filed within 90 days from the date of the decision.



ROLE OF HIGH COURT

If all statutory/treaty conditions are satisfied, the High Court forwards the decision to the District Court for enforcement.



WHEN ENFORCEMENT IS REFUSED

Foreign arbitral decisions will not be enforced if:

- The dispute is not capable of arbitration under Nepalese law; or
- Enforcement would be contrary to public policy.

Chapter-6 Miscellaneous

Section 35: Cost of Arbitration Proceedings
Section 36: Arbitrator's Remuneration
Section 37: Arbitrator To Refund Payment
Section 38: Devolution of Rights and Liabilities
Section 39: Court to Have No Jurisdiction
Section 40: Parties May Compromise
Section 41: Payment of Fees for Implementing the Award
Section 42: Case Files Relating to Arbitrator
Section 43: Power to Frame Rules
Section 44: Repeal and Saving

SUMMARY — SECTIONS 35–40: COSTS, RIGHTS, COURT JURISDICTION & SETTLEMENT



35. EXPENSES OF ARBITRATION

Parties seeking arbitration must pay the amount fixed by the arbitrator for conducting proceedings, unless the agreement provides otherwise.

Arbitration expenses are shared between the parties in the proportion determined by the arbitrator, considering relevant circumstances.





36. ARBITRATOR'S REMUNERATION

Remuneration is governed by the agreement.

If the agreement is silent, the arbitrator fixes the remuneration after consulting the parties.

Payment may be required in full or as an advance.





37. REFUND OF REMUNERATION

If the dispute cannot proceed or the arbitrator's position becomes vacant, the arbitrator must refund the unused portion of remuneration, after deducting payment for work already performed.

If removed under Section 11, the arbitrator must refund the entire remuneration received.





38. DEVOLUTION OF RIGHTS & LIABILITIES

If a party dies, disappears or becomes bankrupt after arbitration begins, its rights and liabilities transfer to the legally entitled successor under prevailing law.





39. COURT HAS NO JURSDICTION

Courts generally have no jurisdiction over matters governed by the Arbitration Act, except where the Act specifically permits court intervention.





40. SETTLEMENT BY THE PARTIES

Parties may settle the dispute during arbitration. They must submit the settlement terms to the arbitrator. The arbitrator then issues a consent decision reflecting the settlement.

No appeal is allowed against the consent decision, except regarding matters outside or inconsistent with the agreed settlement.



SUMMARY — SECTIONS 41-44: ENFORCEMENT FEE, RECORDS, RULES & REPEAL



41. FEE FOR ENFORCEMENT

- Enforcement fee: 0.5% of the amount realised through enforcement.
- For non-monetary decisions:
  - 0.5% of the determinable market value, or
  - Rs. 500 where the value cannot be determined.
- Fee is paid by the party seeking enforcement.
- If the enforcing party wants to recover the fee from the other party, the District Court recovers it as court fee.



42. ARBITRATON RECORDS

- Arbitrator must maintain a chronological case file containing:
  - Documents and evidence;
  - Statements;
  - Arbitration decision; and
  - Other relevant records.
- After proceedings become final, the file must be submitted to the District Court.
- District Court must keep the records securely like its judgment files.
- Copies of the decision or related documents cannot be provided to third parties without the parties' consent.



43. POWER TO FRAME RULES

- The Supreme Court may frame rules governing court procedures under the Act.



44. REPEAL & SAVING

- Arbitration Act, 2038 (1981) is repealed.
- Arbitrations already commenced before the new Act came into force continue under the old Act's procedures.
- Appeals concerning setting aside an old decision remain subject to the old Act's time limit and grounds.

Thank You!



Like



Share



Subscribe





For notes, mail - govintamang2054@gmail.com